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General Letter GL-07-19

To: **Dealer Principals and Service Managers**

Subject: **Consolidation of Technical Service Charges**

MMAL currently charges and issues individual invoices to Dealers for a number of Technical/Warranty Support items as detailed below:

- CD-ROM Service Manuals
- MUT III data/license costs and technical support
- MMTA systems training and MMTA self-paced learning CD-ROMs
- New Model training DVDs
- Warranty Information System CD-ROM (WIS) and warranty training

This requires a minimum of 12 invoices per Dealer per year with many Dealers receiving 20+ per year depending on the level of training attendance.

This results in a significant administration/accounting burden for both MMAL and Dealers.

In addition, there are two significant issues (MUT III support and the introduction of the Service Manual Viewer system) that will result in upward pressure on Dealer charges in the near future.

MUT III Support

MUT III was introduced in 2004 with a 3 year warranty on the Panasonic lap top unit included in the package. For the majority of Dealers, this warranty has now expired or will expire in the near future.

Under current arrangements, Dealers will be liable for the cost of any lap top hardware repairs required after expiration of the warranty on MUT III system components.

Typical cost to replace a hard drive is $800.00 - $1,000.

Service Manual Viewer

In the 3rd calendar quarter of 2007, MMAL will introduce a new Service Manual Viewer system which integrates Service Manuals with MUT III to provide enhanced diagnostic capability.

This new system has been deemed as mandatory for all Dealers and will result in an increase in the unit cost of the Service Manuals (indicative cost - $80.00 per SMV integrated Service Manual).

MMAL Plan

MMAL intends to consolidate current Technical Service/Warranty Support costs into an annual charge that, **in a full year**, will be billed in two installments in June and December.

The annual charge will include the following:

- CD-ROM Service Manuals (including SMV license charge)
- MUT III data and license costs
- MUT III technical support and lap top repair
  (lap top repairs required as a result of physical damage or data corruption, VCI unit repairs and cables/harness repairs are not included)
- MMTA training days allocation (excluding Apprentice Training)
- MMTA self-paced learning CD-ROMs and/or New Model training DVDs – 2 per annum
- Warranty Information System CD-ROM (WIS) x 12
- Warranty training – 2 x training course position per annum

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Dealer Charge

The full year charge (excluding GST) per Dealer by sales division will be as follows:

Division 1 - $4,270 (covers all New Model Training and up to 24 MMTA training days*)
Division 2 - $3,790 (covers all New Model Training and up to 16 MMTA training days*)
Division 3 - $3,430 (covers all New Model Training and up to 10 MMTA training days*)
Division 4 - $2,430 **

* (1) Per diem charge will be applied if cap is exceeded.
(2) If MMAL does not schedule sufficient courses to provide Dealers with an opportunity to fulfill the training day allocation, MMAL will rebate the balance of the unused days at $60.00 per day. This rebate will be reflected in the following years charge.
(3) Excludes Apprentice Training which will be charged on a user pay basis.
** MMTA and warranty training charged on a per diem attendance basis.

2007 – 2008 MMAL Financial Year Charge

As the consolidated Technical Service Charge is being implemented mid MMAL financial year, a pro rata charge (excluding GST) and pro rata training day allocation will be applied as follows:

Division 1 - $2,850 (including up to 10 MMTA training days)
Division 2 - $2,670 (including up to 7 MMTA training days)
Division 3 - $2,490 (including up to 4 MMTA training days)
Division 4 - $2,050

This charge will include:

- ' 08 MYCD-ROM Service Manuals (including SMV license charge where applicable)
- MUT III license costs for 2007 – 2008 MMAL FY.
- MUT III technical support and repair (excluding lap top repairs required as a result of physical damage or data corruption, VCI unit repairs and cables/harness repairs are not included) for 2007 – 2008 MMAL FY.*
- MMTA systems training (capped as indicated)
- MMTA self-paced learning CD-ROM or New Model training DVD x 1.
- Warranty Information System CD-ROM (WIS) x 6 (first monthly issue in October).
- Warranty training x 1 training course position

* Dealer charge will be reduced by an amount equivalent to the MUT III support/repair charge in situations where the lap top unit is still covered by the initial warranty.

The 2007 – 2008 MMAL FY pro rata charge will be invoiced as follows:

50% in September 2007.
50% in March 2008.

Note: 1) Conditions as specified for full year charge will apply for pro rata charge.

2) Service Adviser training will continue to be charged on a per diem basis for the 2007-2008 period.

3) Ralliart Dealers will be invoiced separately for Ralliart specific Service Manuals and/or MUT III data files and/or other software applications.

Dealer Benefits

- Consolidated charge and regular periodic billing will reduce administration work and facilitate budgeting.
- Improved FRFT capability as a result of Service Manual enhancements will deliver improved efficiency and customer satisfaction.
- Lunches will be provided at all technical training courses (including new model training).
- WIS issued monthly – improved claim preparation efficiency and first time payment performance.

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As further developments of the technical service charge concept, MMAL is studying:

1. A Special Tool Loaner Program to provide all Dealers with access to high cost, low use special tools on an as required basis. If implemented, a fee for this service will be included in the annual charge for the 2008-2009 MMAL financial year period.
2. Including a Service Adviser training fee in the annual charge.

MMAL has presented the consolidated technical service charge proposal to the National Dealer Council Aftersales Sub-Committee who have given in-principle support. We now seek feedback from the Dealer Network prior to implementing the charge.

Please provide any feedback via email to: dbudden@mmal.com.au

Yours sincerely,
Mitsubishi Motors Australia Limited





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